

CORPORATE PERFORMANCE REPORT

Q1 2026 Financial & Operational Review

COMPANY

Apex Logistics International Inc.

CLASSIFICATION

Strictly Confidential

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PREPARED BY

Office of the CFO & Strategy Team

1. Executive Summary

Apex Logistics International delivered strong operational and financial performance during the first quarter of 2026, navigating a complex macroeconomic landscape marked by shifting maritime trade lanes and persistent inflationary pressures in domestic linehaul networks. Consolidated revenue for Q1 2026 reached **\$148.5 million**, representing an 8.4% increase year-over-year (YoY).

The expansion was primarily driven by high-volume utilization in our trans-Pacific freight forwarding segments and strategic optimization within our digital brokerage platform. Operating margin expanded by 120 basis points, largely driven by automated route optimization protocols implemented in late 2025.

CONSOLIDATED REVENUE

\$148.5M

▲ +8.4% YOY

EBITDA MARGIN

14.2%

▲ +1.2% BPS

ON-TIME DELIVERY (OTD)

98.4%

▲ +0.6% VS Q4

2. Financial Performance & Segment Review

Growth was sustained across two of our three core operational divisions. While the Ocean Freight segment faced volatile spot rates, long-term contractual agreements locked in during Q4 2025 provided revenue stability.

OPERATING DIVISION	Q1 2025 (\$M)	Q1 2026 (\$M)	VARIANCE (%)	PRIMARY DRIVERS
Air Freight Forwarding	42.1	48.3	+14.7%	Surge in high-tech component demand and cross-border e-commerce lanes.
Ocean Freight Infrastructure	55.4	53.1	-4.1%	Port congestion and temporary structural equipment imbalances in APAC ports.
Contract Logistics & Brokerage	39.5	47.1	+19.2%	Successful onboarding of 3 enterprise Fortune 500 accounts in retail.
Total Consolidated Revenue	137.0	148.5	+8.4%	Net enterprise growth driven by technology-led execution.

3. Operational & Strategic Developments

Supply Chain Resilience & Infrastructure

In response to maritime disruptions, Apex successfully rerouted 14% of North American inbound volume through alternative West Coast gateways, mitigating average port delays by 4.2 days relative to the industry benchmark.

STRATEGIC TECHNOLOGY DEPLOYMENT: PROJECT APEXFLOW

In January 2026, the company finalized Phase II deployment of *ApexFlow*, our machine-learning proprietary routing system. The system matches predictive cargo availability with real-time asset tracking. This resulted in an immediate 6.8% decrease in empty backhaul miles across the domestic dry-van fleet, directly insulating operating margins from regional diesel price spikes.

Sustainability & Decarbonization Targets

- **Fleet Electrification:** Successfully integrated 45 medium-duty electric delivery vehicles into metropolitan last-mile delivery operations, cutting local fleet scope 1 emissions by 11%.
- **Sustainable Aviation Fuel (SAF):** Executed a memorandum of understanding with premium carriers to source 1.5 million gallons of SAF for regional air corridors starting in Q3 2026.

4. Outlook & Guidance for Q2 2026

Management remains cautiously optimistic entering the second quarter. While global macroeconomic factors present variables beyond core operational control, strong order backlogs in the technology and industrial manufacturing verticals provide visible revenue coverage. Full-year revenue growth guidance is reaffirmed at 7.5% to 9.0%, with capital expenditures projected to stay within the planned limits of \$18.5 million.